

DBS.ARS.No.BC.6/08.91.001-2001-02

November 5, 2001

The Chairmen & Managing Directors of
all Public Sector Banks

Dear Sir,

Introduction of Half Yearly Review of Accounts of Public Sector Banks

Please refer to our letter DBS.ARS.Nos.BC.13 and 4/08.91.001/2000-01/02 dated 17th May 2001 and 25 October 2001 respectively on the above subject.

2. Some of the public sector banks have sought clarification as to whether during the course of half yearly review exercise Statutory Central Auditors (SCAs) are required to visit each Zonal Office/Regional Office of the bank for carrying out checking of consolidation of the half yearly accounts prepared by the bank's functionaries.
3. The issue has been examined by us. We advise that as the half yearly review exercise not being a full-scale audit, the SCAs should confine their checking only to the consolidation of accounts carried out at the Central/Head Office level. However, in case they come across any discrepancy during the course of such checking, warranting on the spot scrutiny in any particular Zonal Office/Regional Office they are free to do so to satisfy themselves.
4. Please acknowledge receipt.

Yours faithfully,

Sd/-

(R. M. Thakkar)
Deputy General Manager